



Figure 43.5 Horn bottom on weekly chart. As described in the Sample Trade, Mary was stopped out during the throwback just before price doubled.

“Did I sell too soon?” she asked me. Before I could answer, she said, “No. The last thing I want to do is start a bad habit where I bend the rules and win, and then get hammered with a huge loss. I sold when the trade went bad. Sure, I missed out on doubling my money, but there will always be another trade.

“What I’d like to know is how to improve what I did. Why did the stock drop four points? I’ll find out and see if I can detect it coming the next time. Maybe I’ll narrow the loss, too, by placing the stop closer.”